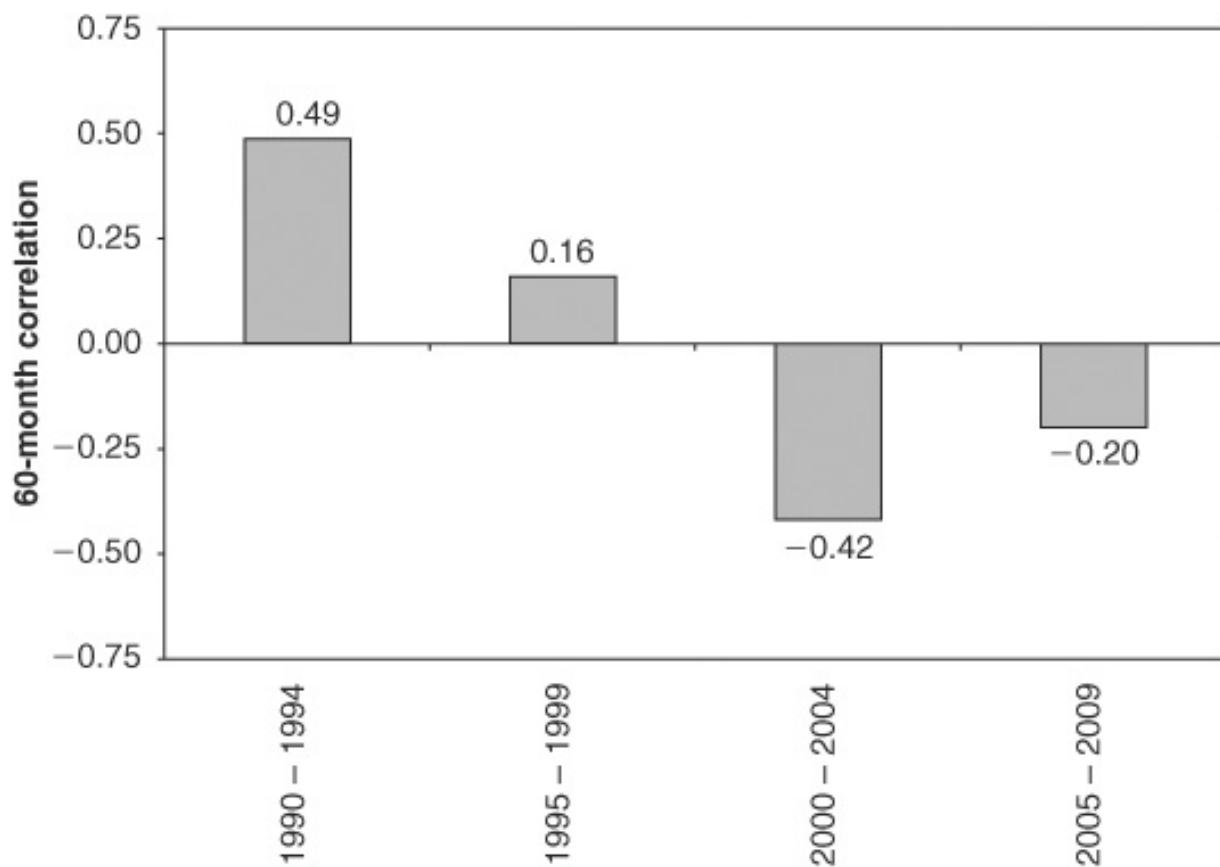


Some investors may find it interesting that the correlation between stocks and bonds fluctuates as dramatically as [Figure 3-9](#) indicates. Prior to the correlation shift that started around 1998, there was a longstanding belief among investors that bond prices move in a similar fashion to stock prices. The thinking is that interest rates affect stock values. When interest rates fall, both bond prices and stock prices rise, and vice versa. That is simply not the case, and the recent decade ending in 2009 proved it.

FIGURE 3-9

Rolling 60-Month Correlation Intermediate-Term Treasury Notes and S&P



The correlation between intermediate-term Treasury notes and the S&P 500 Index has shifted unpredictably over the last 50 years. Consequently, the diversification benefit from owning both intermediate-term Treasury notes and S&P 500 stocks has also been a moving target. [Figure 3-10](#) is a series of independent risk-and-return charts for the two investments that cover each decade since 1950.